

Data Glove Acquisition

- M&A Focus in high growth areas of Cloud, Infra, Security, Data, Salesforce
- User industry has moved from Data Centre to Private Cloud to Hybrid Cloud to Multiple Cloud adoption which compels service providers to have capabilities across different Cloud platforms
- Purpose of the acquisition is partly due to need to have product development capabilities across different Cloud platforms
- Vision is to scale partnership with Microsoft like with IBM. With this acquisition, Persistent will "sell to" Microsoft where it will do Product Development and IT services and "sell with" Microsoft to its customers where it will deliver services and solutions through Microsoft.
- Currently, Salesforce practice and IBM account are \$100 Mn+ businesses for Persistent and plans to scale up Microsoft practice also.
- See image in phone on profile of data glove
- Data Glove has 700+ SKUs that will add value to Persistent's offerings
- Expected impact on FY23 of 75 Bps (amortization mainly) on EBIT level which will be absorbed over a period of time
- EBITDA margins are similar to Persistent due to offshore delivery nature of business. With Data Glove, the aspiration is to carry on last year's growth momentum
- No relation with Trimax or EBIX
- 75-80% of Data Glove's revenue of company comes from Microsoft which is partly billed to Microsoft and through Microsoft introductions. When MS goes for any large engagements it partners with smaller companies like Data Glove for implementations. This can be on infra modernization, app modernization, etc.
- Data Glove's *Client bucket* - top client would be \$8-10 Mn, Top 5-7 would be in \$2-4 Mn and balance in \$ 1 Mn buckets
- Persistent borrow \$35 Mn (foreign currency loan) for the upfront payment
- Currently, Microsoft Cloud related work (excluding development work) would be \$25 Mn for Persistent and combined with Data Glove would increase to \$75 Mn



12th February, 2022

Rating	TP (Rs)	Up/Dn (%)
BUY	5,106	22

Market data

Current price	Rs	4,193
Market Cap (Rs.Bn)	(Rs Bn)	321
Market Cap (US\$ Mn)	(US\$ Mn)	4,279
Face Value	Rs	10
52 Weeks High/Low	Rs	4,988 / 1,595
Average Daily Volume	('000)	289
BSE Code		533179
Bloomberg		psys.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	31.26	31.26
Public	65.51	65.69
Othres	3.23	3.05
Total	100	100

Source: BSE

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- Plan to initiate Cloud practice with 3 other Cloud Providers as well - 2 of which will be organic talent and 1 may be acquisition
- 5-6% of Data Glove's revenue comes from other Service Providers which may be lost out upon acquisition
- Earnouts will go to founders which are coming on board after acquisition
- 45% of EV would go towards Intangibles

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